

Markup Review Sheet, Edit by Edit

Every decision, edit, and open item on its own line with a checkbox | July 23, 2026

Prepared for Dennis Lanni, HGF Management Company

July 23, 2026, second revision. Three parts. Part one is the public-versus-portal split in one named document, INS-303, as fifteen one-line decisions, each with an approval checkbox. Part two is every edit, numbered, each with its document, section, PDF page, old wording, new wording, and its own approval checkbox. Part three is the three items waiting on your input, each with its own line and checkbox. Page numbers refer to the current editions: INS-302 Developer Guide v1.2 (two pages), INS-303 Investor Guide v1.2 (seven pages), and the Capital Partner Brief revised July 20 (one page).

Part one: the public-versus-portal split in INS-303, the Investor Guide, v1.2

This part concerns one document only: INS-303. Fifteen decision lines. Check the box to approve the line as marked, or write the change on the line.

Decision 1. Chapter 1, the offer, sections 1.1 through 1.5: PUBLIC. APPROVED: []

Decision 2. Chapter 2, sections 2.1 through 2.3 (the instrument, the facility, the take-out): PUBLIC. APPROVED: []

Decision 3. Chapter 2, section 2.4 (commercial terms set at term sheet): PORTAL. APPROVED: []

Decision 4. Chapter 3, sections 3.1, 3.2, 3.4, 3.5 (pipeline, origination, repayment, take-out): PUBLIC. APPROVED: []

Decision 5. Chapter 3, section 3.3 (closing and advance mechanics): PORTAL. APPROVED: []

Decision 6. Chapter 4, sections 4.1 and 4.4 (bond counsel placeholders): PORTAL. APPROVED: []

Decision 7. Chapter 4, sections 4.2 and 4.3 (statutory protections, 2 percent burden ceiling): PUBLIC. APPROVED: []

Decision 8. Chapter 5, sections 5.1 through 5.4 (lien standing, rate stability, the 25 percent test, illustrative sizing): PUBLIC. APPROVED: []

Decision 9. Chapter 5, section 5.5 (the waterfall, counsel-gated): PORTAL. APPROVED: []

Decision 10. Chapter 6, all sections (underwriting and risk, including the plainly stated risks): PUBLIC. APPROVED: []

Decision 11. Chapter 7, sections 7.1, 7.2, 7.5 (who does what, the annual cycle, prepayment): PUBLIC. APPROVED: []

Decision 12. Chapter 7, section 7.3 (maker-and-checker service detail): PORTAL. APPROVED: []

Decision 13. Chapter 7, section 7.4 (delinquency): principle PUBLIC, reporting detail PORTAL. APPROVED: []

Decision 14. Chapter 8, sections 8.1, 8.3, 8.4 (reporting package, portfolio tape, continuing disclosure): PORTAL. APPROVED: []

Decision 15. Chapter 8, section 8.2 (statutory reporting that happens regardless): PUBLIC. APPROVED: []

Part two: the edits, one by one

Eighteen edits. For each: the document, the section, the PDF page, the old wording, the new wording. Check the box to approve the edit as made, or write the change on the line.

Edit 1. INS-302 Developer Guide v1.2, section 1, page 1. The three selling sentences.

Old: not present.

New: "Three sentences carry the whole idea. It's not a loan to you; it's a tax on the land. You never repay the principal; the lots do. Your cash stays in your pocket at the permit counter."

APPROVED: []

Edit 2. INS-302 Developer Guide v1.2, section 2, page 1. Say 25 percent instead of four-to-one.

Old: "an appraised value of at least four times the financing (program policy, stricter than the statute's three-to-one in Government Code 53345.8)."

New: "financing capped at 25 percent of the lots' appraised value (program policy, stricter than the statute, which allows roughly a third, Government Code 53345.8)."

APPROVED: []

Edit 3. INS-302 Developer Guide v1.2, section 4, page 1. Same instruction, second location.

Old: "must find your lots worth at least four times the financing."

New: "values your lots, and the financing is capped at 25 percent of that appraised value."

APPROVED: []

Edit 4. INS-302 Developer Guide v1.2, section 5, page 1. No hearing needed on annexation; verified against statute.

Old: "the city council approves each annexation on its regular calendar... Timing therefore depends on the council calendar, not on a campaign."

New: "your parcels join with the unanimous approval of the owner, your signature, without any requirement for further public hearings or additional proceedings (Government Code 53339.3(b) and 53339.7)... No hearing, no election, no campaign: paperwork and a recording."

APPROVED: []

Edit 5. INS-302 Developer Guide v1.2, section 6, page 1. Costs as a percentage plus hard fees.

Old: "You pay the deal's execution costs, targeted at \$5,000 to \$30,000 per project (a founder estimate, pending vendor quotes): appraisal, document preparation, title, recording, origination, and the annexation itself."

New: "You pay the deal's costs in two parts: an origination fee set as a percentage of the amount financed, stated on your term sheet, plus the hard costs of execution... targeted at \$5,000 to \$30,000 per project (a founder estimate, pending vendor quotes)."

APPROVED: []

Edit 6. INS-302 Developer Guide v1.2, section 10, page 2. What-it-is-not, reframed on the money side.

Old: "It is not free money: you still pay execution costs and the tax on lots you hold. It is not a personal loan: no personal guarantee, the security is the land..."

New: "This is not a loan to you. You never sign a personal guarantee, and nobody ever sends you a bill to pay the money back. Instead, each lot in your project picks up a small yearly charge on its property tax bill, and that charge is what pays the money back over time..." continuing through escrow disclosure, setup costs, participation, and the term sheet caveat.

APPROVED: []

Edit 7. INS-303 Investor Guide v1.2, new section 1.4, page 1. The tax-exempt status you flagged as missing.

Old: not present (the prior 1.4, "What is proven and what is not," moved to 1.5).

New: "Tax status of the interest. The notes are intended to be issued as tax-exempt obligations, exempt from federal and California income tax... Bond counsel's opinion, delivered at closing on each note, is what makes the exemption effective for a purchaser."

APPROVED: []

Edit 8. Capital Partner Brief, one page. Title, honesty sentence, and bullets.

Old title: "Small notes. County-collected. Four-to-one covered." New title: "Small notes. County-collected liens. 25 percent debt-to-value."

Removed: the intro sentence "The program is pre-launch and this page says exactly what is proven and what is not" (the Read-this-first box keeps the substance).

Old bullet: "Four-to-one appraised cushion by an independent MAI to State Treasurer (CDIAC) standards; the statute requires three." New bullet: "Debt capped at 25 percent of appraised value, set by an independent MAI appraisal to State Treasurer (CDIAC) standards; the statute permits roughly a third."

Removed: the rate-stability bullet. Added in its place: "Structured for tax-exempt interest, federal and California... bond counsel's opinion at closing delivers it on each note."

APPROVED: []

Edit 9. INS-303 Investor Guide v1.2, section 3.2, page 2. The 25 percent framing carried into the investor manual.

Old: "against the program's four-to-one value-to-lien policy (A2, A3)."

New: "against the program's cap of 25 percent debt to appraised value (A2, A3)."

APPROVED: []

Edit 10. INS-303 Investor Guide v1.2, section 4.2, second listed protection, page 3.

Old: "The four-to-one appraised value-to-lien cushion, an INSITE program policy above the statutory three."

New: "Debt capped at 25 percent of appraised value, an INSITE program policy stricter than the statutory three."

APPROVED: []

Edit 11. INS-303 Investor Guide v1.2, section 5.3, title and body, page 3.

Old: "The four-to-one test in practice... the issuer must find the taxed property worth at least three times the debt (section 53345.8, A2). INSITE requires four."

New: "The 25 percent debt-to-value test in practice... meaning debt of roughly a third of value (section 53345.8, A2). INSITE caps debt at 25 percent of appraised value."

APPROVED: []

Edit 12. INS-303 Investor Guide v1.2, section 6.1, page 3.

Old: "the appraisal and the four-to-one cushion."

New: "the appraisal and the 25 percent debt-to-value cap."

APPROVED: []

Edit 13. INS-303 Investor Guide v1.2, section 6.2, page 3.

Old: "An appraisal that will not support four-to-one at the requested note size."

New: "An appraisal that will not keep debt inside 25 percent of value at the requested note size."

APPROVED: []

Edit 14. Website index page, five locations. All appraisal and cushion language now reads 25 percent of appraised value.

APPROVED: []

Edit 15. Developer One-Pager, appraisal bullet and eligibility snapshot. Now "financing capped at 25 percent of appraised value."

APPROVED: []

Edit 16. City Agency Brief, policy bullet. Now "caps debt at 25 percent of appraised value, stricter than the statute's three."

APPROVED: []

Edit 17. INS-201 Data Package Checklist, eligibility paragraph. Now "caps the financing at 25 percent of appraised value."

APPROVED: []

Edit 18. INS-301 Agency Guide reference draft, four locations including the worked example. Now the 25 percent framing throughout. The underlying policy is unchanged on every surface: the same ratio, said one way everywhere.

APPROVED: []

Part three: the three items waiting on your input

Item 1. The 19 percent stabilized debt-to-value figure from your markup on the Capital Partner Brief: state the basis (where the number comes from). Once answered it ships in three places: the Capital Partner Brief debt-to-value line, INS-303 section 5.3 (page 3), and the investors page security stack. ANSWERED: []

Item 2. The replacement housing permit data from your notes on INS-303 section 1.3 and the Capital Partner Brief pipeline bullet: send the source file or link. Once verified it replaces the current unit figures and the \$1.56 billion derived figure in INS-303 section 1.3 (page 1), the Capital Partner Brief, and the claims register entries behind them. ANSWERED: []

Item 3. Single-lot eligibility: confirm in writing that the minimum drops from 2 lots to 1. The 2-to-50 range appears in twelve places across eight documents, and one confirmation changes all of them in one pass: INS-302 sections 1 and 2 plus the FAQ, INS-303 sections 1.1 and 6.4, the INS-301 reference draft section 2.3, the INS-201 checklist, the website index in four spots, the developers page, the Developer One-Pager, and the City Agency Brief. CONFIRMED: []

INSITE™ is a pre-launch program concept administered by HGF Management Company. This material is not an offer of financing, legal advice, or investment advice. Program structure, eligibility, costs, and pricing are subject to issuer approval, bond counsel review, and program underwriting. Figures identified as targets or estimates are the founder's working numbers, not commitments.